

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Able Limited is a Hong Kong company carrying on a medical equipment trading business in Hong Kong. Peter and Mary, both Hong Kong residents, are the directors and 80%/20% founder shareholders of the company respectively. Able Limited maintains a trading office cum showroom in Hong Kong. The trading office has 1 clerical clerk responsible for handling paperwork covering trade contracts, shipment of goods and banking. Able Limited does not have any business presence outside Hong Kong, though Peter occasionally makes business trips to attend trade shows in various parts of mainland China to collect market information only.

Able Limited deal with a sole 3rd party supplier ("the Supplier") based in mainland China, Peter is very experienced in the healthcare sector and knows the Supplier very well, however he is very weak in terms of compliance and taxation matters. Therefore, Peter relies heavily on Mary, who has been employed by Able Limited as the finance manager for over 30 years. Mary is not a qualified accountant, her accounting and taxation knowledge is gained from reading textbooks and discussion forums on the Internet.

The directors plan to retire in 2 years' time, their plan is to sell their entire shareholding in Able Limited to the Supplier that has indicated interest in Able Limited's business years ago. To allow a smooth transition of the medical equipment trading business to the Supplier, Peter has promised to the Supplier that once the share sale is confirmed, Peter will remain as director of Able Limited for 2 years, and travel to mainland China to conduct China sales transactions together with a sales trainee of Able Limited for at least 2 years. During this 2-year period, Peter will demonstrate to the sales trainee the key steps from sales initiation, negotiation, conclusion and execution of sales contracts.

In addition, to allow Able Limited to expand its business, an interest-bearing shareholder's loan of HK\$200 million will be provided by the Supplier to Able Limited, immediately after the share sale.

With the above plan in mind, imagine that the directors have appointed your firm to perform a seller tax due diligence. As the tax manager of this engagement, you have identified the following tax issues during this exercise:

1. Able Limited from time to time sells medical equipment to a hospital in Beijing. These sales were made in the following manner:
 - The hospital procurement team came to Hong Kong and met Peter at the showroom of Able Limited maintained in Hong Kong, product samples and marketing materials were displayed at the showroom.

- Peter put forward the trade terms (including pricing, delivery date, payment and shipping terms, etc.) to the procurement team at the showroom for their consideration.
- Negotiation of the trade terms took place during a business dinner at a Chinese restaurant in Hong Kong but was not confirmed at that point of time. Peter subsequently prepared and signed the written sales order in accordance with the consensus reached during the business dinner, the sales order was hand delivered to the procurement team before they returned to Beijing.
- The procurement team returned to Beijing and made a recommendation to the hospital's Head of Procurement based in Beijing, in all cases he signed and returned the sales order to Peter within 2 days by email. Peter never experienced any situation where the Head of Procurement rejected or revised the sales order.
- All sales to the hospital were in RMB received by Able Limited's bank account in Singapore. Delivery of the goods was directly from the Supplier to Beijing without passing through Hong Kong. No stock of goods was kept by Able Limited in Hong Kong.

In the profits tax computation, Mary claimed the above trading profit from sales to the Beijing hospital as offshore and not subject to profits tax, whereas sales to other Hong Kong customers were claimed as onshore and subject to profits tax. The Inland Revenue Department ("IRD") issued tax assessment to Able Limited per profits tax return submitted and has never raised any questions about the offshore claim.

The Supplier is verified to be a Chinese company, carrying on business in and is a tax resident of mainland China. The Supplier does not have any business operation or related companies outside mainland China.

2. Able Limited paid a monthly royalty to the Supplier for the right to use the trademark owned by the Supplier in the marketing materials produced by Able Limited, which are updated every season. Mary has treated the royalty expense as non-tax deductible on the basis that the recipient is a non-Hong Kong company and not subject to Hong Kong profits tax.
3. Mary has engaged an accounting firm to prepare Master File and Local file for Able Limited on the basis that the company has transactions with the Supplier who is a non-resident. You subsequently found out that Able Limited currently does not have any related party transactions.

4. Able Limited gifted a sum of cash of HK\$300,000 to Mary on 20 March 2022 in recognition of her 30th year of employment with the company. The gift expense was claimed as non-deductible in computing Able Limited's assessable profits for the year of assessment 2021/22 being capital in nature, for the same reason the sum was not reported in the employer's return of Able Limited. Mary has indicated to you that she did not report the gift in her Tax Return – Individuals for the year of assessment 2021/22 by relying on the above treatments.

Having identified the above tax issues, you shared your findings with Peter and Mary, and indicated to them your view on the tax treatments. Peter is very nervous about a possible tax audit from the IRD, hence he has privately suggested the following ideas to you:

- a. Ask Mary to resign as director and finance manager immediately, and transfer her 20% shareholding in Able Limited to Peter at HK\$1;
- b. Do not issue the tax due diligence report and destroy all work papers and records immediately;
- c. Correct all irregularities identified in the tax due diligence exercise before the end of the year of assessment 2023/24, so from the year of assessment 2024/25, Able Limited will be in a full compliance position;
- d. If the IRD issues a 2024/25 tax assessment per the profits tax return filed, this will indicate the IRD is not aware of the historical issues, or its agreement not to take actions against Able Limited; and
- e. Delay the shareholding disposal to 1 month after the date of issuance of the 2024/25 tax assessment by the IRD.

Peter indicated to you that the clerical clerk knows very little about the tax function, all tax filing strategies and return filing were handled by Mary alone.

Question 1 (15 marks – approximately 27 minutes)

- a) In relation to the sale of medical equipment to the Beijing hospital, analyse and advise the source of the trading profits based on the information and facts revealed by the tax due diligence exercise, in light of the provisions in the Inland Revenue Ordinance ("IRO"), case laws and the IRD's practice note.
(9 marks)
- b) Propose THREE documents that you will review and keep in your working file to support your analysis and conclusion in Question (a).
(3 marks)
- c) On condition that Able Limited is a Hong Kong tax resident company as defined under the double tax agreement between Hong Kong and mainland China ("the DTA"), advise whether Able Limited will maintain a permanent establishment ("PE") in mainland China, in the context of agency PE as defined under the DTA, during the 2-year period after the shareholding sale.
(3 marks)

Question 2 (7 marks – approximately 12 minutes)

- a) Assess the reason quoted by Mary for her tax treatment relating to the deductibility of the royalty paid to the Supplier, in light of the provision in the IRO.
(3 marks)
- b) Explain whether the royalty earned by the Supplier will be subject to Hong Kong profits tax under the provisions of the DTA. Further advise whether there will be double taxation issue to the Supplier and how this issue can be avoided under the above DTA.
(4 marks)

Question 3 (16 marks – approximately 29 minutes)

- a) Advise whether the preparation of Master File and Local File by Able Limited are necessary at the moment. Reassess the above conclusion based on the business plan after Able Limited is acquired by the Supplier.
(6 marks)
- b) After sharing your findings from the tax due diligence exercise with the directors, Mary agreed with your view that her receipt of the HK\$300,000 gift from Able Limited should be subject to salaries tax, and the tax filing position she has taken in her Tax Return – Individuals for the year of assessment 2021/22 was incorrect.

Write a tax advisory letter to Mary covering the possible penal actions under the provisions of the IRO, as a result of the incorrect tax filing position taken in her Tax Return – Individuals for the year of assessment 2021/22.

(10 marks)

Question 4 (12 marks – approximately 22 minutes)

- a) Analyse whether the ideas (a) to (c) suggested by Peter are effective in mitigating the risk of receiving a tax audit from the IRD and enhancing Able Limited's ability to defend itself during the tax audit.

(6 marks)

- b) Explain how an ongoing tax audit can negatively affect the future shareholding disposal from the perspective of Peter.

Evaluate why ideas (d) and (e) cannot prevent the risk of receiving a tax audit during the shareholding disposal.

Briefly describe one alternative approach that can better achieve the objective of facilitating the shareholding disposal.

(6 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (13 marks – approximately 23 minutes)

Mr Jones joined KLM Inc. ("KLM") since its incorporation in Country X in the early 2000s. To explore new business opportunities in the Asia Pacific region, KLM temporarily assigned Mr Jones to KLM Asia, a group company incorporated in Hong Kong, for 12 months starting on 1 November 2022. According to the terms of assignment, he remained KLM's employee during the assignment period, and should report to the CEO of KLM based in Country X. Half of his salaries during the assignment period was arranged to be deposited into his bank account in Country X, and the remaining half into his bank account in Hong Kong.

In view of the relatively short duration of the assignment, Mr Jones decided not to ask his wife, Mrs Jones, to relocate with him, who had a full-time job in Country X, and also had to take care of Mr Jones' 70-year-old mother.

Mr Jones is completing the Tax Return – Individuals for the year of assessment 2022/23. He roughly counts that he spent at least 70 days in Hong Kong from the start of the assignment up to 31 March 2023. He intends to claim that only part of his employment income is subject to tax in Hong Kong ("Exemption Claim"). He is unable to provide evidence of tax payment in Country X at the moment. He is also going to claim tax allowances in respect of Mrs Jones and his mother.

Required:

With reference to the relevant IRO provisions and legal principles:

- (a) **Identify and analyse the arguments that Mr Jones should put forth in support of the Exemption Claim, given the absence of tax payment evidence in Country X.**
(10 marks)
- (b) **Explain whether Mr Jones is entitled to tax allowances in respect of Mrs Jones and his mother.**
(3 marks)

Question 6 (13 marks – approximately 23 minutes)

Peggy is the sole director and shareholder of Love Pet Limited ("LPL"), principally engaged in the trading of pet related products. In the income statement of LPL for the year ended 31 March 2021, loss before tax of HK\$150,000 was shown after deducting, among others, the following items:

- (i) Bad debt of HK\$200,000: This represented a trade debt from a customer on credit sales (amount of sales reflected in the income statement). Although the trade debt was overdue for 6 months as at the year end date, no action had been taken against the customer in view of its long-established and ongoing business relationship with LPL.
- (ii) Business trip expenses of HK\$232,000: This included a trip of Peggy to Thailand in early 2021 and the related costs of quarantine. While Peggy planned to visit certain suppliers in Thailand during the trip, it turned out that she only spent 20% of time visiting suppliers, with the rest of the time spent enjoying a luxurious vacation in Phuket.

Peggy thought that it was not necessary for LPL to file its Profits Tax return for the year of assessment 2020/21, as the company sustained a loss for that year. Subsequently, LPL received an estimated Profits Tax assessment dated 9 December 2021 from the IRD demanding tax payment of HK\$9,800 on assessable profits of HK\$120,000. Peggy thought that the estimated assessment was just issued by mistake, and again ignored it. On 30 May 2022, LPL received a recovery notice from the IRD on the outstanding tax and surcharge.

Peggy approached Ben & Co., a CPA firm, for tax advisory services. She told Ben & Co. that "I believed I had COVID-19 around the time of the estimated assessment. I learnt from my friend the quality of work your firm delivered, and have every faith in all your advice".

Required:

- (a) **Analyse the ethical considerations Ben & Co. should be aware of in response to the information and request from Peggy.**
(4 marks)
- (b) **With reference to the relevant IRO provisions, advise the tax treatment of the bad debt and business trip expenses. Also prepare a tax computation of LPL for the year of assessment 2020/21. LPL is not entitled to two-tiered rates.**
(6 marks)
- (c) **LPL now agrees not to challenge the estimated assessment. Advise the course of action that LPL should take, and the assessment expected to be received from the IRD, with the amount of profits and tax assessed therein.**
(3 marks)

Question 7 (13 marks – approximately 23 minutes)

Ray has been employed by Fortune Well Limited ("FWL") in Hong Kong as a manager since early 2015. To broaden his exposure, FWL seconded Ray to its subsidiary in Country F from 1 January 2018 to 30 June 2019. During the secondment, Ray remained an employee of FWL and his career path was to be driven by FWL. Upon completion of the secondment, Ray was promoted to senior manager and rendered services to FWL in Hong Kong from 1 July 2019. He did not depart from Hong Kong up to 31 March 2020.

Ray's employment income for the year of assessment 2019/20 was summarised as follows (Expressed in HK\$ equivalent):

Period	HK\$
April 2019 to June 2019 (services rendered in Country F)	210,000
July 2019 to March 2020 (services rendered in Hong Kong)	<u>810,000</u>
	<u>1,020,000</u>

Hong Kong and Country F has entered into a double taxation agreement ("DTA") which has effect in both Hong Kong and Country F since the year of assessment 2012/13. In respect of Ray's income derived from his services rendered in Country F, income tax of HK\$27,300 was withheld and paid to Country F, in accordance with the laws of Country F and the provisions of the DTA.

Lily, Ray's supervisor, had been seconded to Country F during the years of assessment 2015/16 and 2016/17. She advised Ray that her claim to exclude the income derived from services rendered in Country F, which was subject to Country F's income tax, was accepted by the IRD. Ray lodged the same income exemption claim with the IRD for the year of assessment 2019/20, but was rejected by the IRD.

Required:

- (a) Explain, with reference to the relevant IRO provisions, why Lily's claim for income exemption was accepted by the IRD, but the same for Ray was not. (3 marks)
- (b) Ray realised that he should pursue double taxation relief in respect of the income derived from Country F by way of tax credit. Assume that Ray was not entitled to other deductions and allowances except basic allowance. Compute the tax credit limit allowable to him and the amount not allowable as tax credit. (7 marks)
- (c) With the same assumption in Question 7(b), compute the Salaries Tax liability of Ray for the year of assessment 2019/20 (ignore provisional tax). (3 marks)

Question 8 (11 marks – approximately 21 minutes)

Ivan and his spouse Tina own a few properties in Hong Kong for letting purpose. The table below summarises the property information for the year of assessment 2021/22:

Property	A	B	C
	HK\$	HK\$	HK\$
Rental income	300,000	216,000	1,200,000
Rates paid by landlord	10,000	5,800	41,000
Management fee	32,080	18,500	48,600
Repairs and maintenance	2,500	1,350	15,400

The couple was considering that they should make use of a corporation jointly controlled by them, namely T&I Limited ("T&I"), to handle all the rental matters. Their preliminary plan was to let all the properties at 10% of the original rent (i.e. the rent listed above, which was market rent) to T&I. T&I would then sub-let the properties to the original third party tenants at market rent, and bear all the outgoings and expenses of the properties, including all those listed above. T&I has a tax loss of HK\$500,000 brought forward to the year of assessment 2021/22.

Required:

(a) Compute the following for the year of assessment 2021/22:

- (i) The couple's Property Tax liabilities, if they do not implement their plan.**
- (ii) The amount of tax saving that the couple could achieve, if they implement their plan. Assume T&I is entitled to and has elected for two-tiered rates. Ignore Personal Assessment.**

(7 marks)

(b) With reference to the general anti-avoidance provisions of the IRO, briefly evaluate how Ivan and Tina's plan will be challenged by the IRD.

(4 marks)

* * * END OF EXAMINATION PAPER * * *